

Brent Dips Below \$100 and Recovers as Saudi Arabia Reopens Its Pipeline

An oil and gas edition: prices, flows, inventories and what the futures curve is pricing.

SECTION 01

The Big Picture

Oil spent the week arguing with itself. Brent closed below \$100 on Tuesday for the first time since 8 September, at \$99.25, as Saudi Arabia restarted the pipeline that moves its crude to the Red Sea, a day before US and Iranian negotiators met for three hours in New York. By Thursday it had climbed back to \$106.60 after Saudi forces intercepted six Houthi missiles aimed at the Yanbu export area, and it ended the week at \$104.32, 0.4% higher than the Friday before. WTI went the other way, down 7.9% to \$92.41, its first weekly fall since late August, so the gap between the two benchmarks widened from under \$4 to almost \$12. The physical market stayed tight throughout: the EIA's Dated Brent assessment finished the week at \$116.01, nearly \$12 above the front-month contract, and US distillate stocks are still 12% below their five-year average.

MARKET	18 SEP	25 SEP	WEEK
Brent crude, front-month futures, \$/bbl	103.87	104.32	+0.43%
WTI crude, front-month futures, \$/bbl	100.30	92.41	(7.87%)
Brent premium over WTI, futures, \$/bbl	3.57	11.91	+8.34
Dated Brent spot (EIA), \$/bbl	119.66	116.01	(3.05%)
WTI Cushing spot (EIA), \$/bbl	101.44	85.23	(15.98%)
Henry Hub gas, front-month futures, \$/MMBtu	2.912	3.196	+9.75%
Dutch TTF gas, EUR/MWh (intraday prints)	78.90	69.99	(11.29%)
Asian LNG, JKM, \$/MMBtu (17 and 24 Sep prints)	26.75	26.38	(1.38%)
NY Harbor heating oil spot, \$/gal (18 and 22 Sep)	4.950	4.797	(3.09%)
US working gas in storage, Bcf (weeks to 11 and 18 Sep)	3,298	3,351	+53
US oil rigs, Baker Hughes count (18 and 25 Sep)	452	455	+3
WTI speculative net long, contracts (15 and 22 Sep)	106,279	101,828	(4,451)

Sources: EnergyNow (exchange settlements); AP; Reuters via GV Wire and Yahoo Finance; Yahoo Finance; EIA; Trading Economics; Baker Hughes; SteelOrbis; CFTC. WTI is the October contract on 18 September and the November contract on 25 September, as the wires report it. Rows dated in the label use the latest published figures where Friday data are not yet released.

- **Crude.** Brent settled at \$104.32 on Friday, up 0.43% on the week, after a Monday fall to \$100.34, a Tuesday close of \$99.25, a two-day recovery of 7.4% to \$106.60 and a Friday drop of 2.14% on reports of a phased US-Iran deal. WTI fell on four of the five sessions to \$92.41, and the Brent premium over WTI widened from \$3.57 to \$11.91. The physical

benchmarks did not follow the futures: the EIA's Dated Brent assessment ended at \$116.01, \$11.69 above the front-month contract, while WTI at Cushing fell 16% on the week to \$85.23, \$7.18 below its own futures contract.

- **Flows and diplomacy.** Saudi Arabia restarted the East-West pipeline on Tuesday at a low rate with a target of 4 million barrels a day, and Kpler data cited by Reuters put Saudi exports above 4 million barrels a day in September to date, from 2.4 million in August, with 2.9 million a day moving through Hormuz over the six days to the weekend. Crude loadings at Yanbu on the Red Sea had not resumed by Thursday, when six Houthi ballistic missiles aimed at Taif and the Yanbu area were intercepted. In New York, US envoys and Iran's foreign minister held a three-hour meeting on 23 September; reports on Thursday and Friday said the two sides were exploring a phased arrangement under which Iran would reopen the strait and the US would lift its blockade. Nothing was signed and the blockade, which had redirected 103 vessels by 15 September, remains in force.
- **Products and inventories.** US commercial crude stocks rose 3.0 million barrels to 426.4 million in the week to 18 September, 2% above the five-year average, as imports fell 1.2 million barrels a day to 5.9 million and refinery runs fell 519,000 barrels a day to 16.8 million, 94.0% of capacity. Gasoline stocks fell 1.7 million barrels to 206.0 million and distillate stocks fell 0.4 million to 107.4 million, 6% and 12% below their five-year averages. The distillate margin held: New York Harbor heating oil at \$4.797 a gallon on 22 September was \$105.06 a barrel above WTI spot, against \$101.19 on 9 September. The US rig count rose 4 to 599 on 25 September, the oil count 3 to 455.
- **Gas and LNG.** US working gas rose 53 Bcf to 3,351 Bcf in the week to 18 September, 2.9% above the five-year average after 3.7% the week before and 4.2% below a year earlier. Henry Hub futures rose 9.75% to \$3.196 while European gas fell 11.29% to €69.99 a megawatt-hour on the Hormuz reports, and Asian LNG at \$26.38 is near the highest since January 2023 according to the page that prints it. Ship-tracking data compiled by Bloomberg showed at least two laden LNG carriers leaving the Gulf through Hormuz in the week, after Gulf exports had been at a virtual standstill since a Qatari tanker was attacked in early July, and Qatar's energy minister said undamaged capacity could restart within a couple of weeks of a reopening.

SECTION 02

The Oil Market

Five threads ran through the oil market this week and every one of them passes through the Strait of Hormuz. The futures market took out risk premium on the diplomacy and put some of it back on the missiles; the physical market did neither. Saudi crude is leaving the Gulf again, mostly through the strait, while the pipeline meant to bypass it pumps at a low rate toward a port the Houthis are targeting. US crude built because refineries ran less, with distillate still the scarce barrel, and the gas market told the same story from the other side: American storage is comfortable, European and Asian prices are still double last year's, and laden LNG carriers have moved out through the strait for the first time in weeks.

Brent closes under \$100 on Tuesday and ends the week higher

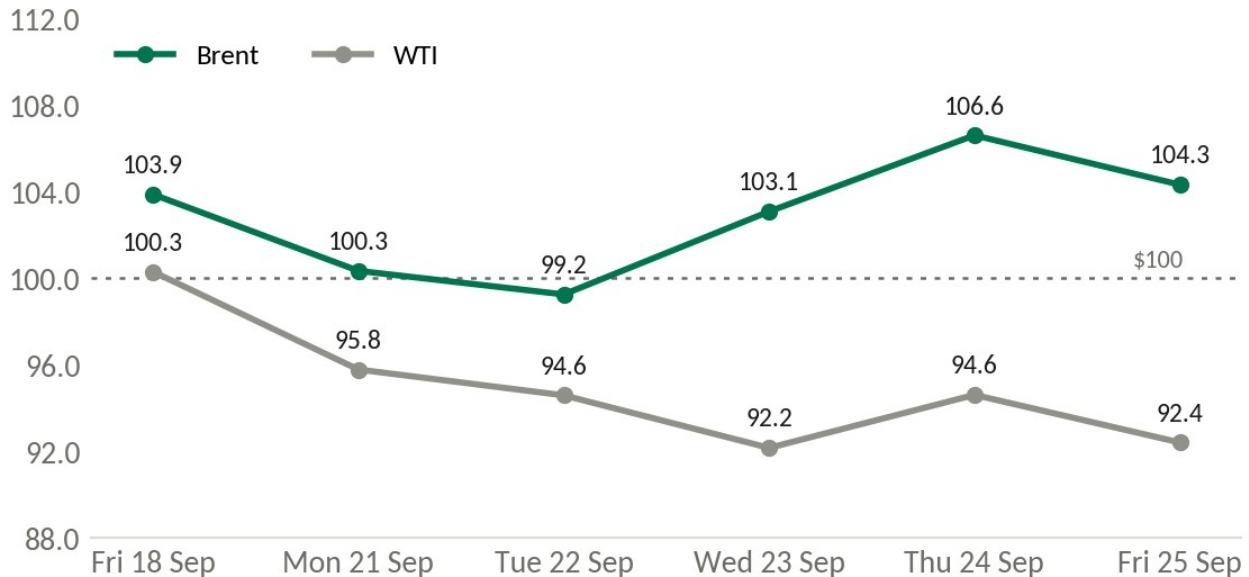
Source: EnergyNow daily oil wraps (exchange settlements), 21 to 26 September 2026; AP, 22 September; Reuters via GV Wire and Yahoo Finance, 23 and 24 September; EIA daily spot prices; Investing.com Brent futures contracts (23 September intraday quotes).

Brent fell 3.4% on Monday to \$100.34 and settled at \$99.25 on Tuesday, down 1.1%, after briefly trading below \$98 in the morning. Reuters described it as the first close below \$100 a barrel since 8 September and noted that both benchmarks had declined for six consecutive sessions to around two-week lows, the sellers citing Saudi Arabia's pipeline restart and a push to end the nearly seven-month conflict. The turn came on Wednesday, when Brent settled up \$3.83, or 3.86%, at \$103.08 as Iran's president told the UN General Assembly that Tehran

would never surrender to the US but still believes in diplomacy, and on Thursday, when it rose 3.41% to \$106.60 after Saudi Arabia intercepted six Houthi missiles. Friday took back 2.14% on reports of a phased US-Iran deal, leaving Brent at \$104.32, up 45 cents on the week. WTI settled at \$92.41, down \$7.89 or 7.87% from the previous Friday's October-contract settlement of \$100.30, and the Brent premium over WTI widened to \$11.91 from \$3.57.

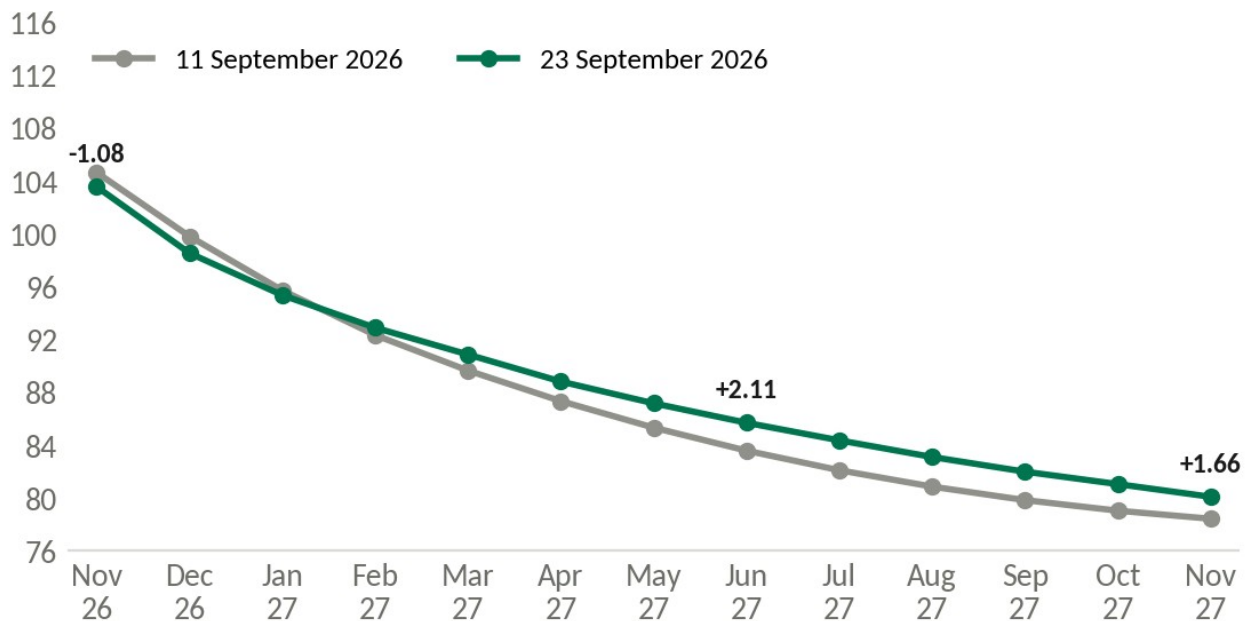
The physical market did not join the round trip. The EIA's Dated Brent assessment, the price of actual North Sea cargoes, was \$119.66 on 18 September, \$114.89 on Tuesday, \$117.45 on Wednesday and \$116.01 on Friday, between \$11.69 and \$15.79 above the front-month contract on every day for which both prints exist. WTI at Cushing ended the week at \$85.23, \$7.18 below its own November contract and \$30.78 below Dated Brent. The futures curve agrees: the twelve-month Brent strip averaged \$89.43 on 23 September, 13.24% below that day's front-month settlement and 23.86% below the physical price, and the November 2026 contract was \$5.02 above December. Over the fortnight from 11 September the front of the curve fell \$1.08 while June 2027 rose \$2.11 and November 2027 rose \$1.66.

Our reading is that the week's price action was about the probability of a deal rather than about barrels. A physical price \$12 to \$16 above the front contract, and a front contract \$5 above the next month, are the marks of a market short of prompt oil; they do not appear when supply has been restored, and the physical premium is the number on which this reading rests. For equities, the split matters by benchmark: a US producer selling at Cushing realised about 16% less on Friday than a week earlier, a Brent-linked producer about 3% less, and a refiner selling distillate at more than \$200 a barrel kept its margin.



Brent and WTI front-month futures settlements, dollars per barrel

Source: EnergyNow daily wraps (exchange settlements); AP; Reuters via GV Wire and Yahoo Finance; Yahoo Finance CL=F history. WTI is the October contract to 21 September and the November contract from 22 September.



Brent futures curve by contract month, dollars per barrel

Source: Investing.com Brent futures contracts page; 11 September values are settlements, 23 September values are delayed intraday quotes at 16:22.

Saudi Arabia restarts the East-West pipeline but Yanbu loadings wait

Source: The National, Arab News and EnergyNow (Reuters wire), 22 September 2026; EnergyNow daily wraps, 21 and 25 September (Kpler data via Reuters); Reuters via Yahoo Finance, 24 September; Al Jazeera, 12, 17 and 18 September; IEA Oil Market Report, September 2026; Global Energy Flow (Kpler as cited).

Saudi Arabia has restarted operations at its East-West Pipeline, Reuters reported on Tuesday, citing sources, adding that the pipeline was pumping at a low rate, that Aramco was seeking to get the pumping rate back to 4 million bpd and that full resumption could take weeks. The line, which moved 4 to 5 million barrels a day from the eastern fields to Yanbu on the Red Sea before it was shut down as a precaution after a drone strike from Iraq's Maysan province on 10 to 11 September, is the kingdom's only export route that avoids the Strait of Hormuz. One cargo was scheduled to load at Yanbu later on Tuesday, bound for China. By Thursday, EnergyNow reported that crude tanker loadings from Yanbu had not yet resumed, and that day Saudi forces intercepted six Houthi ballistic missiles targeting Taif and the Yanbu area, after attacks on Riyadh and Yanbu over the previous weekend. The Houthis declared a maritime embargo on Saudi Arabia on 17 September and a day later told US officials their restrictions would apply only to vessels linked to Saudi Arabia.

The barrels that did leave went east. Over the weekend of 19 to 20 September Saudi Arabia loaded seven supertankers with a capacity of 14 million barrels from its Gulf terminals, which The National called the clearest sign yet of the export shift back towards Hormuz. Kpler data cited by Reuters put Saudi exports at more than 4 million barrels a day so far in September, up from 2.4 million in August, with Saudi crude moving through Hormuz averaging about 2.9 million a day over the six days to the weekend against 700,000 a day in August. The strait itself remains close to shut for everyone else: the tracker cited by the Global Energy Flow page counted three vessel transits on 16 September against a pre-war norm of about 130 a day, and the IEA's September report put total Gulf oil exports in August at around 13 million barrels a day, nearly half their pre-war level, with flows through the strait severely constrained.

What has changed is the route, and the route has an owner. Saudi crude is moving again because it is moving through Hormuz, which depends on Iran's tolerance and on the American military assistance the US Energy Secretary has described, while the bypass to the Red Sea depends on repairs Aramco says will take weeks and on a Houthi campaign that hit the export area twice in a week. The figure this read rests on is 2.9 million barrels a day through the strait against 700,000 in August: that is the recovery, and it can be reversed by a decision in Tehran faster than a pipeline can be repaired. For equities, a Saudi recovery routed through Hormuz keeps the war premium in Brent even as more oil reaches Asia, which favours Brent-linked producers over US ones and keeps the tanker market long-haul.

ROUTE	LATEST	SOURCE AND DATE
Strait of Hormuz, all vessels	Three transits counted on 16 September; about 130 a day before the war	Kpler as cited by Global Energy Flow, 23 September
Strait of Hormuz, Saudi crude	About 2.9 million b/d over six days, from 700,000 b/d in August; seven supertankers, 14 million barrels, loaded 19 to 20 September	Kpler via Reuters (EnergyNow, 21 September); The National, 22 September
Gulf oil exports, all countries	Around 13 million b/d in August, nearly half the pre-war level	IEA Oil Market Report, September 2026
East-West pipeline to Yanbu	Restarted 22 September at a low rate; target 4 million b/d; full resumption could take weeks	Reuters via The National, Arab News, EnergyNow, 22 September
Yanbu loadings	One China-bound cargo scheduled for 22 September; loadings had not resumed by 24 September	EnergyNow, 22 and 25 September
Red Sea, Bab al-Mandeb	Houthi maritime embargo on Saudi ports declared; restrictions said to apply only to Saudi-linked vessels	Al Jazeera, 17 and 18 September
Saudi export exposure to attack	Six Houthi ballistic missiles intercepted over Taif and the Yanbu area on 24 September; attacks on Riyadh and Yanbu on 19 to 20 September	Reuters via Yahoo Finance, 24 September; EnergyNow, 21 September

Sources: as stated in each row. Vessel counts are tracker figures relayed by the press and are indicative rather than official.

Washington and Tehran explore a phased deal while the blockade stands

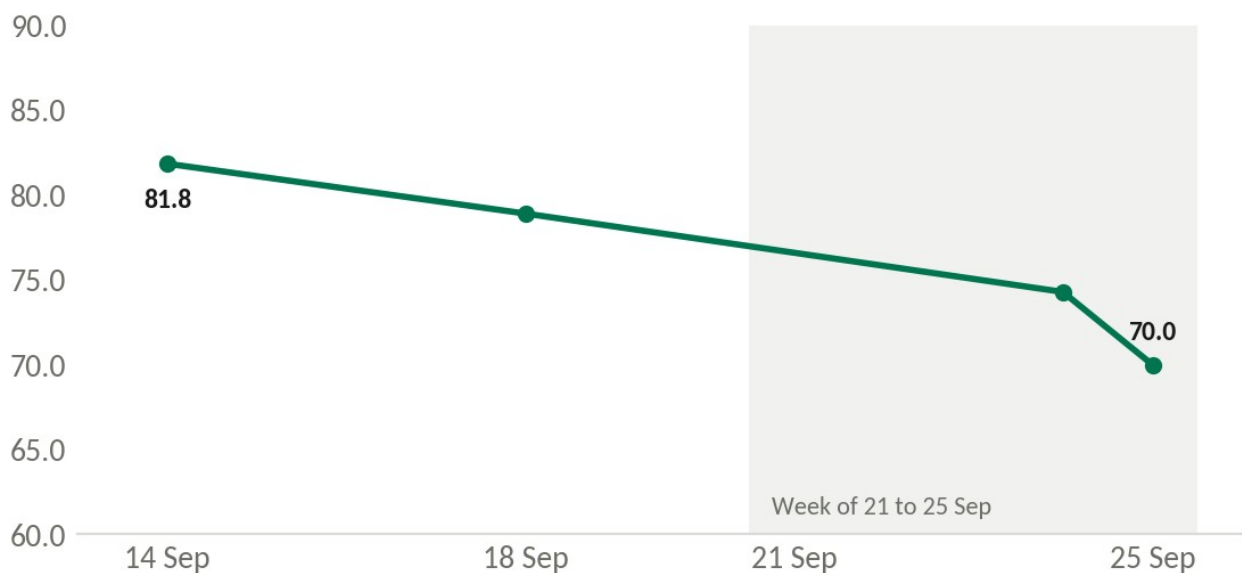
Source: Al Jazeera, 23 September 2026; Reuters via GV Wire, 23 September, and via Yahoo Finance, 24 September; The National, 25 September; EnergyNow, 25 and 26 September; Trading Economics, 25 September; GlobalSecurity daily digest (CENTCOM as cited), 17 September.

US envoys Steve Witkoff and Jared Kushner met Iran's foreign minister, Abbas Araghchi, on the sidelines of the UN General Assembly in New York on 23 September, in what President Trump called a three-hour meeting. Trump said: "They had a very good meeting, a very productive meeting", and Witkoff said: "The mediators will continue their work"; Al Jazeera reported no signed deal or formal agreement. An Iranian official said Iran could reopen Hormuz within seven days if the US eased military pressure and lifted its blockade, and the article listed Tehran's conditions as lifting the US naval blockade, releasing frozen Iranian assets and ending the war on what Tehran describes as the 'resistance' fronts. The same day President Pezeshkian told the assembly that Tehran would never surrender to the US but still believes in diplomacy, and security chief Mohsen Rezaei said the strait would not be reopened while Iran's conditions are not met. On Wednesday a senior Iranian official told Reuters that the two sides remain far apart on how to end the war but that diplomacy must continue.

The market moved on Thursday and Friday on reports, none of them attributed to a named official, that the negotiators were exploring a phased deal to reopen the strait. EnergyNow's

Friday wrap described a phased route toward ending the conflict, which could involve Iran reopening the Strait of Hormuz and Washington lifting its economic blockade; Iran's president said it was up to the United States to determine when the war ends. The blockade itself is unchanged: the CENTCOM tally relayed by the GlobalSecurity digest stood at 103 commercial vessels redirected as of 15 September. European gas gave the cleanest reading of how the reports were received: TTF dropped 6.6% on Friday to €69.99 a megawatt-hour, and the Trading Economics page attributed the fall to reports of US-Iran discussions over a phased agreement to reopen the Strait of Hormuz and end the US blockade.

Our read is that the sequence is the news. A phased arrangement in which the strait opens before the blockade is lifted, or the reverse, addresses the point on which the Oman-hosted talks of 13 September were postponed, with Tehran saying the US naval blockade must be lifted before further negotiations, and a market that had priced no talks at all is now pricing a process. The figure it rests on is the 6.6% fall in European gas on a day when nothing was signed. For equities, the asymmetry flipped for a week: until now the risk was that talks failed and prices rose, and this week the risk that moved prices was that they succeed, which is the opposite of the risk that has driven energy shares since the war began.



Dutch TTF front-month gas, euros per megawatt-hour (intraday prints)

Source: Trading Economics EU natural gas page, intraday prints on the dates shown; not exchange settlements.

US crude builds as refineries slow, and distillate stays 12% below normal

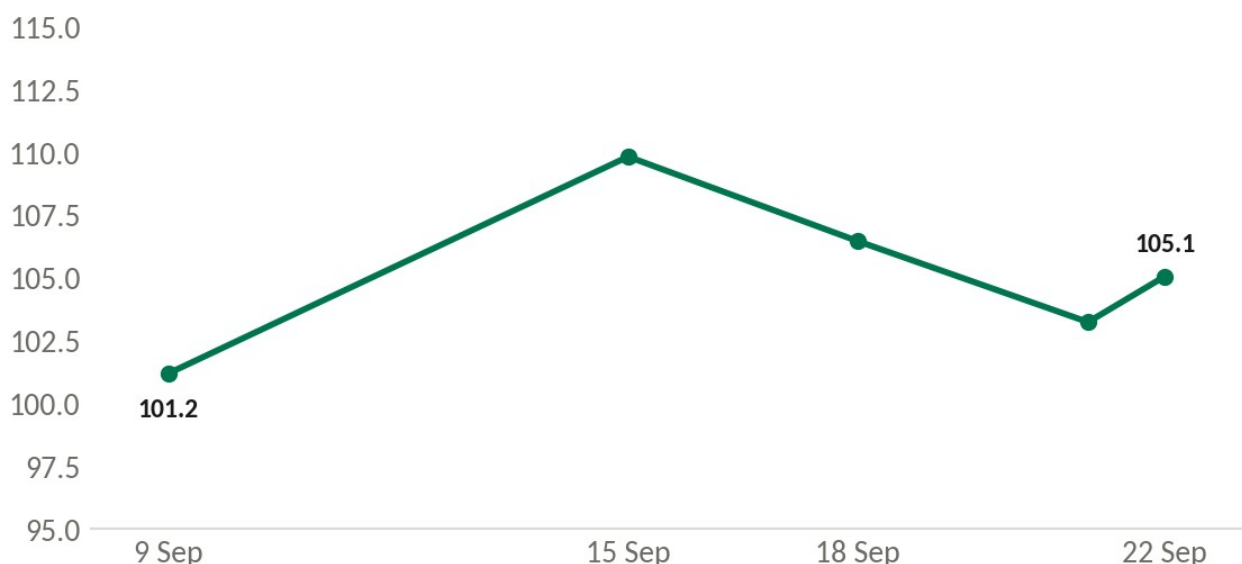
Source: EIA Weekly Petroleum Status Report, week ending 18 September 2026, as transcribed by Rigzone (24 September); EIA daily spot prices; Baker Hughes rig count, 25 September; SteelOrbis (Baker Hughes as cited).

US commercial crude inventories increased 3.0 million barrels to 426.4 million barrels in the week to 18 September, two percent above the five-year average, after two small draws. The build came from the refining side rather than from imports: crude imports decreased 1.2 million barrels per day to 5.9 million barrels per day, while refineries processed 16.8 million barrels per day, down 519,000 barrels per day from the previous week, at 94.0 percent capacity utilisation against 96.8% a week earlier. Gasoline inventories decreased 1.7 million barrels to 206.0 million, six percent below the five-year average, and distillate inventories decreased 0.4 million barrels to 107.4 million, 12 percent below the five-year average, a week

after the prior edition of this note recorded them at the lowest since weekly records began in 1982. The Strategic Petroleum Reserve fell 0.4 million barrels to 284.6 million.

Product prices held their ground while crude fell. New York Harbor heating oil, the wholesale diesel benchmark, was \$4.797 a gallon on 22 September, or \$201.47 a barrel, which is \$105.06 above that day's WTI spot price of \$96.41; the same margin was \$101.19 on 9 September and peaked at \$109.83 on 15 September. Gasoline at New York Harbor was \$3.551 a gallon, \$52.73 a barrel over WTI. Drilling edged up: Baker Hughes counted 599 US rigs on 25 September, up 4 on the week and 50 on the year, with the oil count up 3 to 455 and the gas count up 1 to 135; the US count is 8 higher than two weeks earlier, the oil count 6 higher than on 4 September.

The read from this week's data is the same as last week's: refining rather than crude is the constraint in the US, and a fall in crude prices does not reach the diesel pump while the crack is above \$100 a barrel. The figure it rests on is \$105.06 on 22 September, with utilisation down to 94.0%. For equities, the split between crude producers and product makers widened this week: a producer's price fell 8% to 16% depending on the benchmark, a refiner's margin did not fall at all, and the buyers of diesel, in trucking, airlines and agriculture, got no relief.



US distillate crack: NY Harbor heating oil spot minus WTI Cushing spot, dollars per barrel

Source: EIA spot prices table; heating oil converted from dollars per gallon at 42 gallons per barrel. The 25 September product row is published on 30 September.

The US gas surplus narrows to 2.9% as Qatari LNG carriers test Hormuz

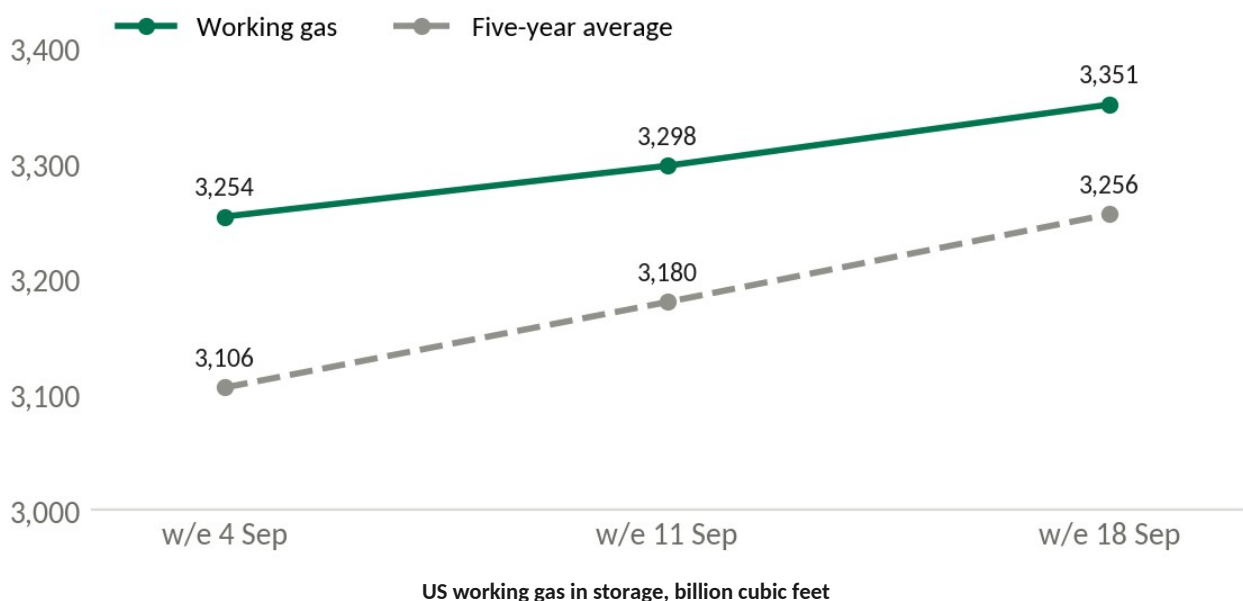
Source: EIA Weekly Natural Gas Storage Report, week ending 18 September 2026, via IndexBox; Yahoo Finance NG=F history; EIA Short-Term Energy Outlook, September 2026; Bloomberg via Rigzone, 24 September; Euronews, 8 September; The National, 14 September; Trading Economics; Bloomberg via EnergyConnects (Kpler as cited), 31 August; IEA Gas Market Report, Q3 2026.

Working gas in the Lower 48 rose 53 Bcf to 3,351 Bcf in the week to 18 September. That is 95 Bcf, or 2.9%, above the five-year average, down from a 3.7% surplus the week before and 4.8% two weeks before, because the seasonal average is rising faster than stocks; storage is 146 Bcf, or 4.2%, below a year earlier. The EIA's September outlook still expects 3,969 Bcf at the end of October, 5% above the five-year average, which would need 618 Bcf of injections from the 18 September level. Henry Hub front-month futures rose 9.75% on the week to \$3.196, with the spot price at \$3.21 on Friday, and the curve is nearly flat: the twelve-month

strip on 25 September averaged \$3.193, 4.35% above the 23 September spot, with January 2027 at \$3.948, 80.5 cents above October.

The international market is where the war shows. At least two laden carriers have been sent outbound through the narrow strait in the last week, while at least two moved in the opposite direction to enter the Persian Gulf, according to ship-tracking data compiled by Bloomberg, after exports from the Gulf had been at a virtual standstill since a Qatari tanker was attacked in early July; Energy Minister Saad Sherida Al-Kaabi said undamaged parts of the Ras Laffan complex could resume within a couple of weeks of a reopening. Qatar exported just 18 LNG cargoes during the first six months of the Iran war, compared with 509 during the same period a year earlier, and about 17% of its capacity is offline for repairs QatarEnergy puts at three to five years. Asian LNG at \$26.38 per million Btu on 24 September was, on the page that prints it, near the highest level since January 2023 and 133.87% above a year earlier; European gas at €69.99 is 111.24% above a year earlier even after the week's fall. China's LNG imports were around 5.2 million tonnes in August, 18% below August 2025, on Kpler's estimate.

The read is that US gas is a domestic market that happens to export, while Europe and Asia are pricing a missing 45% of Gulf LNG supply for the year, the IEA's own estimate for Qatar and the UAE. The figure it rests on is the pair of year-on-year changes, 111% in Europe and 134% in Asia, against a US surplus to the five-year average of 2.9%. For equities, US gas producers get a modest domestic price and a large export arbitrage that only the LNG exporters capture.



Source: EIA Weekly Natural Gas Storage Report, as transcribed by Oil & Gas 360 (4 and 11 September) and IndexBox (18 September).

In brief

The agencies' September balances. The IEA's September report has world demand falling 2.5 million barrels a day in 2026 and supply falling 5.7 million, with 2027 recovering 2.6 million of demand and 8.0 million of supply; world production fell 1.6 million barrels a day in August to 100.1 million as more than 10 mb/d of Gulf output remained shut in amid heightened security risks, and observed inventories drew 95 million barrels in August and 507 million since February. The EIA's September outlook has 2026 consumption at 102.59

million barrels a day against production of 100.62 million, a draw of 1.97 million a day, and estimates global inventories have fallen 400 million barrels so far this year. OPEC's September report, as reported by Reuters, still has 2026 demand growing by 380,000 barrels a day, its fifth consecutive downward revision.

OPEC+ and spare capacity. The seven countries that manage voluntary cuts decided on 6 September to maintain September 2026 required production for October 2026 and meet again on 4 October. The IEA puts effective spare capacity across OPEC+ at 0.22 million barrels a day in August, while the EIA counts 6.7 million barrels a day of crude shut in that month and projects 5.7 million in the fourth quarter, so shut-in capacity exceeds usable spare capacity by 6.48 million barrels a day. Iran produced 2.16 million barrels a day in August on the IEA's count, and its seaborne exports were 220,000 to 255,000 barrels a day against about 2 million before the war; operations at Kharg ceased 31 July.

Canada. Western Canadian Select averaged \$68.21 a barrel in August on Alberta's monthly series, from \$67.16 in July and \$65.90 in June. The last published weekly close is \$83.51 on 11 September, \$16.45 below WTI on that page's basis. Canadian rigs rose 11 to 208 on 25 September, 18 more than a year earlier.

SECTION 03

What the Curve Is Pricing

The futures curve, the government forecaster and the banks all expect Brent to fall through 2027. They disagree about how far, and the disagreement is worth about \$10 to \$15 a barrel in every period. The curve on 23 September priced \$101 for the rest of 2026 and \$87 for the second quarter of 2027; the EIA's September path has \$90 and \$77; the banks published in mid-September are between \$83 and \$90 for the rest of this year. Speculators have been reducing their length for two weeks. Below is what is priced, followed by where our own view stands after a week in which one of its conditions was breached.

PERIOD	FUTURES STRIP (23 SEP)	EIA SEPTEMBER PATH	EIA MINUS STRIP
Brent, rest of 2026 (Nov and Dec contracts)	101.02	around 90	(11.02)
Brent, 2Q 2027	87.21	77	(10.21)
Brent, 2H 2027 (Jul to Nov contracts)	82.11	67	(15.11)
Brent, 2027 average (Jan to Nov contracts)	86.47	74	(12.47)
Henry Hub, rest of 2026, \$/MMBtu	3.316	3.43	+0.114
Henry Hub, 2027, \$/MMBtu	3.165	3.28	+0.115

Sources: Investing.com Brent (23 September, intraday) and Henry Hub (25 September, intraday) futures contracts, period means; EIA Short-Term Energy Outlook, September 2026.

The curve is \$10 to \$15 above the EIA in every period

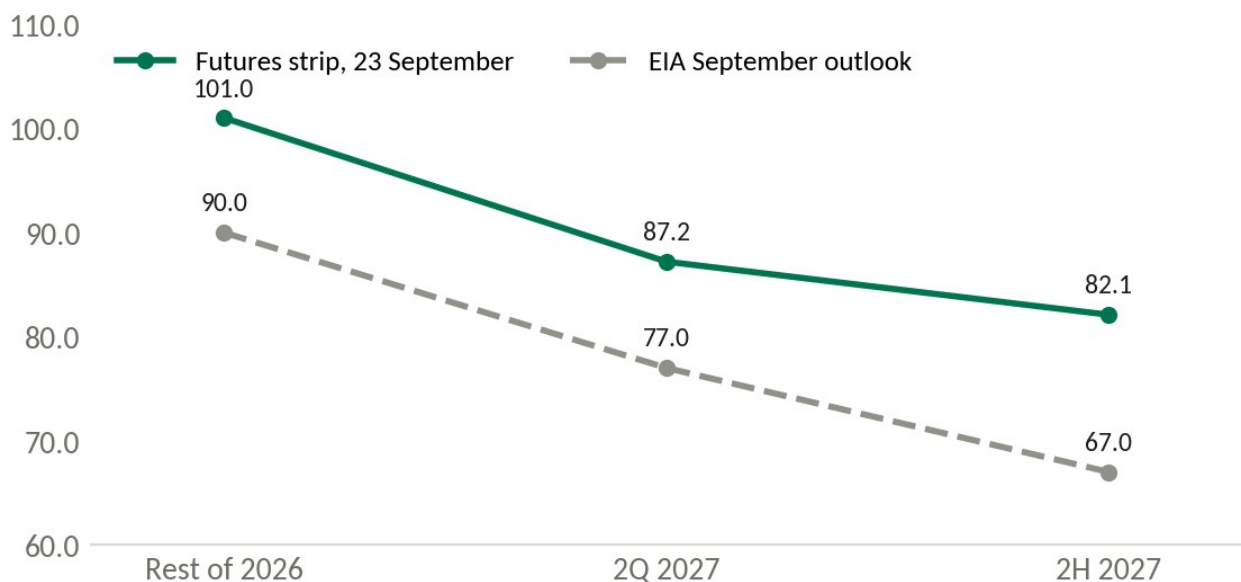
Source: Investing.com futures contracts pages; EIA Short-Term Energy Outlook, September 2026; The Daily Hodl bank forecast roundup, 13 September, and OilPrice.com, 10 September; CFTC Commitments of Traders, positions as of 8, 15 and 22 September 2026.

On 23 September the Brent strip averaged \$101.02 for the November and December contracts against the EIA's forecast of around \$90 for the second half of 2026, \$87.21 for the

second quarter of 2027 against \$77, \$82.11 for July to November 2027 against \$67, and \$86.47 for the eleven 2027 contracts quoted against the agency's \$74 annual average. The gap is widest in the second half of next year, at \$15.11. Henry Hub runs the other way: the strip is \$3.316 for the rest of 2026 and \$3.165 for 2027 against EIA paths of \$3.43 and \$3.28, so the gas market is priced 11 to 12 cents below the forecaster. The bank forecasts collected in mid-September fall between the two on oil: Goldman Sachs at \$85 for December 2026, HSBC at \$90 for 2026 and \$85 for 2027, Bank of America at \$83 for the second half of 2026 and \$75 for 2027, and Commerzbank at \$85 for year-end 2026. HSBC's note said the market was unlikely to rebalance until the middle of 2027.

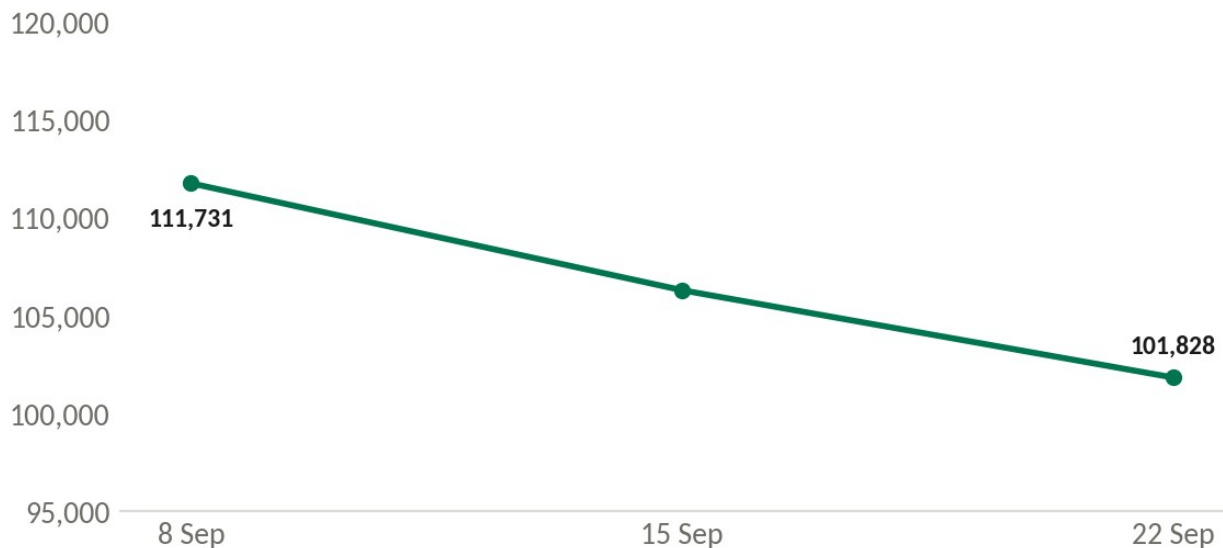
Positioning has moved with the diplomacy. Non-commercial traders in NYMEX WTI held a net long of 101,828 contracts on 22 September, down from 106,279 a week earlier and 111,731 on 8 September, a fall of 9,903 contracts or 8.9% in two weeks. The composition matters: longs rose by 4,230 over the fortnight while shorts rose by 14,133, so the reduction came from new short positions being opened rather than from longs leaving. Open interest in the contract was 1,841,811. The 22 September data predate Thursday's rally; The release on 2 October, covering 29 September, will show whether the new shorts survived it.

Our read is that the curve is pricing a slow reopening and the EIA a fast one, and that the week's data sided with the curve: Saudi barrels are moving through the strait with American military assistance, but the strait itself saw three vessel transits on the last day counted, distillate stocks are 12% below normal and the physical premium is \$11.69. The figure it rests on is the \$15.11 gap for the second half of 2027, the period in which both the agency and the curve assume flows have normalised. For equities, a curve above the forecaster means consensus earnings for producers are built on a lower deck than the market's own hedgeable price, which is the usual condition for upward revisions if the curve holds.



Brent: futures strip (23 September) against the EIA's September price path, dollars per barrel

Source: Investing.com Brent futures contracts (23 September intraday quotes, period means); EIA Short-Term Energy Outlook, September 2026.



NYMEX WTI non-commercial net long position, contracts

Source: CFTC Commitments of Traders, petroleum futures, legacy long format (WTI-PHYSICAL, code 067651); net long is long minus short.

Where our view stands after the week

Source: Gotrade energy research, views recorded on 14 September 2026 and tested weekly against the figures above; the evidence for each is in the research record.

Our first view was that Brent trades between \$100 and \$135 into the end of October, because oil cannot leave the Gulf without passing Iran and both bypass routes, the East-West pipeline and the Red Sea, are impaired. Its confirming condition was written on settlements: Brent front-month settles inside \$100 to \$135 on every trading day to 31 October. Tuesday's close of \$99.25 breached that by 75 cents for one session, and we record the breach. None of the three developments that would retire the view has occurred: the pipeline is pumping at a low rate with Yanbu loadings not yet resumed rather than back at 4 to 5 million barrels a day within a week; no corridor deal has been signed with a date; and the front contract closed under \$100 with a physical premium of \$15.64 rather than toward \$5. The reading we take from the week is that the futures market has begun to price the deal before the physical market has seen the barrels, and the premium is the number that decides which of them is right.

Our second view was that Brent is lower by mid-2027 but above the curve, \$85 to \$95 in June 2027, and only if a corridor opens. The curve has moved toward it: the June 2027 contract was \$85.68 on 23 September, up from \$83.57 on 11 September, which puts it inside the range for the first time; the EIA's \$77 for the second quarter of 2027 remains below it. Our third view, that Brent is below its pre-war level in 2028 to 2029 at \$60 to \$80 because the IEA's 2027 supply rebound of 8 million barrels a day meets demand that recovers only 2.6 million, is supported by the September report and untested by the market, whose furthest quoted contract, November 2027, is \$80.08. The October reports from the IEA and OPEC in the middle of next month are the next test of all three.

WEEK AHEAD

28 September to 10 October

DATE	EVENT	WHY IT MATTERS
Wed 30 Sep	EIA Weekly Petroleum Status Report, week ending 25 September; EIA spot price table with the 25 September product rows	Whether the crude build and the cut in refinery runs extend; the first distillate crack for the week of the \$100 close.
Thu 1 Oct	EIA Weekly Natural Gas Storage Report, week ending 25 September	The surplus to the five-year average has narrowed from 4.8% to 2.9% in two weeks.
Fri 2 Oct	Baker Hughes rig count; CFTC Commitments of Traders for 29 September	Whether the 14,133 new WTI shorts opened since 8 September survived Thursday's rally.
Sun 4 Oct	OPEC+ seven-country meeting on November required production	October was held at September's level; effective spare capacity is 0.22 million barrels a day.
Tue 6 Oct	EIA Short-Term Energy Outlook, October edition	The September path has Brent around \$90 for the rest of 2026 and \$74 for 2027 against a curve at \$101 and \$86.
7 to 10 Oct	China customs trade data for September	August crude imports were 8.93 million barrels a day; the first full month of escorted Gulf flows.
Mid-October	IEA Oil Market Report and OPEC Monthly Oil Market Report, October editions	The IEA's 2027 supply rebound of 8 million barrels a day and its 2026 demand decline of 2.5 million are the figures our views rest on.

Sources: EIA release schedules; OPEC+ press release of 6 September 2026; Baker Hughes; CFTC; General Administration of Customs release pattern and the IEA and OPEC publication calendars as published. US-Iran talks have no announced next date.

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